



**Bureau of Experts at the Council of Ministers
Official Translation Department**

Regulations for Productive Families

Council of Ministers Resolution No. 92
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Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.

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Regulations for Productive Families

Article 1

The following words and phrases shall have the meanings assigned thereto:

Regulations: Regulations for Productive Families.

Bank: Social Development Bank.

Standing Committee: The committee formed in accordance with Article 3 of these Regulations.

Procedural Manual: The manual developed by the Standing Committee in accordance with the provisions of these Regulations.

Productive Families: Under the provisions of these Regulations, a productive family shall refer to any family registered with the Bank, consisting of one or more individuals residing in the same residence due to kinship, and engaging in any of the activities listed in the Procedural Manual inside or outside such residence.

Supervisory Agencies: Agencies supervising the activities provided for in the Procedural Manual, each within its jurisdiction.

Article 2

These Regulations aim to:

1. regulate the affairs of productive families in a manner that controls their operations and fosters self-reliance;
2. provide material and moral support to productive families;
3. provide training, qualification, and assistance to productive families to enhance the competitiveness of their products and facilitate the marketing of such products locally and internationally;
4. establish a suitable work environment and outlets through which productive families can conduct their activities or any activities they can be trained to carry out, thereby improving their living standards and promoting productivity and freelancing;
5. expand the participation of Saudi women, persons with disabilities, and the unemployed in economic development; and
6. contribute to transforming segments of families from consumers to producers.



Article 3

1. A standing committee shall be established at the Bank and chaired by the Chairman of the Board of Directors of the Bank or the General Manager of the Bank with the membership of representatives from the Ministry of Municipal and Rural Affairs; the Ministry of Energy, Industry, and Mineral Resources; the Ministry of Labor and Social Development; the Ministry of Commerce and Investment; the Ministry of Culture; the Ministry of Media; the Ministry of Economy and Planning; the Ministry of Education; the Ministry of Environment, Water, and Agriculture; the Saudi Commission for Tourism and National Heritage; the Saudi Food and Drug Authority; and the Council of Saudi Chambers; as well as two members from the Bank, one of whom shall be a legal advisor. The representatives of government agencies shall be of a rank not lower than grade “Twelve” or its equivalent. The Chairman, in his absence, may delegate any other Committee member to act on his behalf. The Standing Committee shall meet at least four times a year and may add a representative from any other government agency. The Committee shall be responsible for the following:
 - a) Discussing matters related to the activities of productive families, seeking to address the challenges they face, facilitating their operations, and developing special programs or cooperative and integrative partnerships among the agencies represented in the Standing Committee to contribute to achieving the objectives of these Regulations, in accordance with its provisions.
 - b) Preparing the Procedural Manual within three months from the date of publication of these Regulations, which includes the activities that productive families may engage in, either within or outside the residence, the conditions and controls for each activity, and the spatial requirements for the designated area within or outside the residence where activities related to public health are conducted. The Manual shall comply with the provisions of these Regulations and the legal provisions related to such activities, and shall be updated annually to align with implementation requirements.
 - c) Issuing licenses to engage in the activities provided for in the Procedural Manual in cases where productive families wish to market their products outside the locations and outlets designated by the Bank for such purpose.
 - d) Suspending the activity permanently and canceling the registration in accordance with the provisions of these Regulations.
2. The Standing Committee may undertake the following:
 - a) Establish subcommittees and working groups to be entrusted with the implementation of some of its powers. The Standing Committee shall set its work rules and procedures as well as the work rules and procedures of such subcommittees and working groups.
 - b) Seek the assistance of the private sector, associations, or non-profit organizations, as it deems suitable.
 - c) Designate segments of society to be deemed as productive families.



Article 4

1. The Bank shall set the conditions for registration, and shall, at no charge, register productive families seeking registration. The Bank shall prepare a registry which includes registered productive families, the activities in which they engage, and any additional information the Bank deems important.
2. The Bank shall establish a database of productive families interlinked with the databases of the supervisory agencies. Such database shall include the data of productive families engaged in the activities provided for in the Procedural Manual at entities, associations, organizations, and the like which are required to provide the Bank with said data.

Article 5

The Bank shall be the official authority in charge of the affairs of productive families. No entity may organize festivals, markets, or similar events for productive families without coordinating with the Bank and obtaining its approval, unless such events are organized pursuant to a legal provision or under a licensed program.

Article 6

A productive family seeking to market its products in locations and outlets other than those designated by the Bank shall obtain the necessary license and the municipal permit to engage in such activity. A productive family may not directly market products to consumers from its residence, unless it obtains an approval from the Standing Committee.

Article 7

Productive families shall comply with the following:

1. Notify the Bank when deciding to change the residence where the activity is conducted.
2. Engage only in the registered activity; said activity may not be changed without a written approval from the Bank.
3. Facilitate the work of the agency supervising the activity, and provide it with the required data and information. The supervisory agency may not enter the residence designated for such activity except in accordance with the legal procedures applicable to entering residences.

Article 8

1. The validity of the registration shall be three renewable years.
2. The activities listed in the Procedural Manual, including the place where such activities are conducted, shall be assessed by the Bank at least once every three years from the date of registration.
3. The Bank shall set criteria to assess whether a productive family is no longer in need of its support and sponsorship and no longer falls within the Bank's scope of support and sponsorship. If the Bank determines that the productive family no longer falls within its scope according to such criteria, it may cease providing support and sponsorship to enable the productive family to prepare for integration into the private sector.



Article 9

The disbursement of pensions, aid, supplementary program funds, and subsidies provided by the deputyships of the Ministry of Labor and Social Development to beneficiaries from productive families shall continue for a period of three years from the date of commencement of their activities. If the productive family submits a report from the Bank indicating that the project is struggling and specifying the period required for recovery, disbursement may continue after the expiry of the three-year period for a period corresponding to the duration necessary for recovery, provided that such period does not exceed one non-renewable year. If the recovery period lapses and the project continues to struggle, the productive family shall have the option to either continue with its struggling project with the cessation of disbursement, or continue receiving disbursement on the condition of canceling its registration and terminating the struggling project.

Article 10

The Bank may suspend any project funded by a loan in accordance with the provisions of Article 14 of these Regulations if it continues to struggle. The Bank may also, without referring to the Standing Committee, suspend the project and cancel its registration if the productive family fails to repay such loan.

Article 11

1. The Ministry of Municipal and Rural Affairs shall allocate for the Bank permanent or temporary lands and spaces in public areas, such as parks, squares, markets, beaches, pedestrian walkways, and the like, as well as seasonal spaces to establish outlets for marketing the products of productive families. The Ministry shall also allocate lands to the Bank and transfer their title deeds thereto for establishing training incubators and production incubators for productive families, particularly families lacking housing suitable for production or engaging in activities related to public health, as well as allocating lands for setting up marketing outlets for the products of productive families in each city and county, as needed, on which the Bank shall construct the necessary facilities to provide shops through which productive families can market their products, engage in their production activities, or undergo training for such activities. Permanent shops shall be leased to productive families for a nominal fee that increases progressively, provided that the first year is free of charge. The Standing Committee shall determine the controls necessary therefor in terms of the increase rate and the fees according to location. Regulating the lease of exhibitions and bazaars held in seasonal spaces shall be determined at the discretion of the Bank.
2. The Ministry of Municipal and Rural Affairs shall, in coordination with the Bank and relevant agencies, develop a joint program aiming at addressing unregulated sales by productive families engaging in the activities provided for in the Procedural Manual.
3. The Bank shall market the products of productive families locally and internationally, and may, for such purpose, conclude contracts, memoranda, and agreements locally and internationally in accordance with relevant laws and decisions governing the procedures thereof. The Bank may also adopt a commercial term to replace the phrase (productive families) for marketing purposes.
4. The Bank may purchase or lease lands and facilities for establishing outlets to market the products of productive families, in accordance with the relevant statutory procedures.



5. The Bank shall, in coordination with the Ministry of Education, set up a program in which some school canteens are operated by productive families or supplied by their products in accordance with controls, set by the Bank in conjunction with the Ministry, that comply with relevant laws, decisions, and directives. The preparation and packaging of school meals shall, upon readiness of the Bank's production incubators related to public health as specified in paragraph (1) of this Article, be carried out within such incubators.
6. The Ministry of Media shall, in coordination with the Bank, develop appropriate and diverse media materials to support productive families by promoting such families and marketing their products. The Bank shall coordinate with the relevant online marketing agencies to facilitate such promotion.

Article 12

1. The Bank shall open a separate account in any licensed bank in the Kingdom to support and sponsor productive families. The following shall be deposited in such account:
 - a) Allocations from the State for supporting and sponsoring productive families.
 - b) Revenues from the lease of outlets designated for productive families.
 - c) Donations and gifts received by the Bank to support and sponsor productive families.
 - d) Revenues from endowments and bequests allocated to support and sponsor productive families.
2. The Bank may utilize part of the proceeds of the revenues provided for in paragraph (1) of this Article, excluding paragraph (1)(d), to manage and operate marketing outlets and incubators.

Article 13

1. A productive family may request to receive training and qualification from the Bank. The Bank may, if it deems necessary, require a family applying for registration to receive training and qualification as part of a program designated by the Bank therefor, provided that the terms of said program comply with these Regulations.
2. The Bank may collaborate with the public and private sectors to implement the provisions of paragraph (1) of this Article.

Article 14

Productive families may request an interest-free loan in accordance with the provisions of the Bank's Law. Such families may also request financial aid for a production project; the Bank shall establish the necessary conditions and criteria for such aid.



Article 15

1. Upon detecting any violation of the provisions of these Regulations or of the requirements provided for in the Procedural Manual, the supervisory agency shall warn the violating productive family and shall submit a copy of such warning to the Bank. If the productive family fails to rectify the violation within 10 business days, or if said violation is repeated after correction, the supervisory agency shall suspend the productive family's activity and report the matter to the Standing Committee to consider permanently suspending the activity and cancelling the registration, without prejudice to any other penalty provided for in relevant laws.
2. Grievances may be filed before the Administrative Court, in accordance with applicable legal procedures, against the decisions of the Standing Committee and the supervisory agencies as well as the decisions issued by the Bank in accordance with the provisions of these Regulations.

Article 16

The Bank may establish special programs or enter into collaborative and integrative partnerships with centers affiliated with the public sector, or similar entities, which are concerned with supporting and sponsoring productive families engaged in the activities provided for in the Procedural Manual. Similar programs and partnerships may also be established with the private sector, associations, or non-profit organizations to achieve the objectives of these Regulations and subject to its provisions.

Article 17

1. The Bank shall issue the decisions necessary to implement the provisions of these Regulations.
2. These Regulations shall be published in the Official Gazette and shall enter into force three months after the date of their publication.